

through 2023 on an after-tax basis, and what he found was pretty damning. Swedroe's research showed:

- 93% of funds underperformed the benchmark S&P Composite 1500.
- 94% of large-cap funds underperformed the benchmark S&P 500.
- 94% of small-cap funds underperformed the benchmark S&P SmallCap 600.
- 95% of mid-cap funds underperformed the benchmark S&P MidCap 400.
- 94% of multi-cap funds underperformed the benchmark S&P Composite 1500.

You can understand why capital inflows have moved away from expensive active management and into cheap indexing.

Some people imagine they can select the 1 in 20 funds that will outperform its benchmark over the decades. Recognize this is a low-probability bet.

Simplicity

All other things being equal, simple beats complex. A portfolio of low-cost indexes is a simple approach. It's easy to manage, execute, and track. You know exactly what you are going to get without any surprises.

If you want to do something more complicated, you need a very compelling reason to do so. Most products and strategies don't meet this test.

Behavior

Indexing has built into it a unique advantage: You avoid most of the opportunities to make silly mistakes. Indexing gives you a better chance to "be less stupid."